

CHAPTER 7: TAX DEDUCTION AT SOURCE

1. TDS is deducted by Payer
2. TDS is deducted if amount is taxable in hands of payee.
3. TDS requirement arise
 - a) At the time of payment
 - b) At the time of crediting the payee, **Whichever is earlier.**

However, in following cases TDS is deducted **at the time of payment**: Salary (Section 192); EPF Payment (Section 192A); Dividend (Section 194); Winnings (194B/BA/BB); Maturity Of LIP (Section 194DA); Compulsory Acquisition of Immovable Prop. (Section 194LA); Cash Withdrawal from bank (section 194N); Benefit or Perquisites (Section 194R).
4. TDS is deducted from payment for business or personal purpose except for sec 194C/J → No TDS on payment for personal purpose.
5. No TDS is payee is Govt, RBI, Statutory corporation or mutual fund.
6. No TDS on GST component.

TDS ON SALARY [SECTION 192]

Payment	Payer	Payee	Rate
Salary	Any Person (ER)	Any Person (EE)	Slab Rate

Additional Points

1. If a person works with 2 or more ERs, he should submit salary particulars to one ER, who will deduct TDS on total salary.
2. For taxability under normal scheme (old regime), EE must submit declaration to ER, then ER will deduct TDS under normal scheme.
3. Income under any other head may be reported by EE to ER, and ER will consider it for TDS.
4. Loss under house property can be reported by EE to ER.
5. Tax deducted or collected under other sections can be reported by EE to ER.
6. Proof of deductions, rent for HRA, and travel expenses for LTC must be submitted by EE.

7. If ER bears tax on non-monetary perquisite, it will not be deducted from EE salary and is exempt in hands of EE.
8. Salary paid by firm to partner → Section 192 not applicable.

WITHDRAWAL FROM EMPLOYEES PROVIDENT FUND [SECTION 192A]

Payment	Payer	Payee	Rate
Accumulated Balance Of PF	Any Person	Any Person (EE)	10%

Additional Points

TDS to be deducted **@ the time of payment**

No TDS, if payment is **less than 50,000**

No TDS if Withdrawal from PF is Exempt (Refer Salary Chapter)

INTEREST ON SECURITIES [SECTION 193]

Payment	Payer	Payee	Rate
Interest on Securities	Any Person	Resident Person	10%

Additional Points

No TDS shall be deducted in following cases

- a) interest is **up to Rs. 10,000**
- b) 7 Years NSC;
- c) National Development/Defence Bond;
- d) 54EC Bonds: PFCL & IRFCL;
- e) Interest is payable to LIC/GIC/Insurance co.
- f) CG/SG Securities **Note:** TDS deducted on 8% saving (**taxable**) bonds & 7.75% Savings (Taxable) Bonds; Floating rate saving bonds if interest is **more than ₹ 10,000**

TDS ON DIVIDEND [SECTION 194]

Payment	Payer	Payee	Rate
Dividend	Domestic Company	Resident Person	10%

Additional Points

1. TDS to be deducted **@ the time of payment**
2. No TDS where dividend is payable to LIC/GIC/Insurance co.



3. No TDS If dividend is upto ₹ 10,000 in a FY is paid to individual by any mode other than cash.

INTEREST OTHER THAN INTEREST ON SECURITIES [SECTION 194A]

Payment	Payer	Payee	Rate
Interest Other than Securities Interest	Any Person Other Than Ind/HUF	Resident Person	10%

Additional Points

No TDS In Following Cases:

- Interest Paid by Bank/Post Office on time deposits (FD) not exceeding ₹ 50,000 (₹ 1,00,000 for Senior Citizen)
Above limit is Branch wise
However, if CBS exist, Such limit is for Whole bank
- Interest on savings account.
- Other Interest up to ₹10,000
- Interest to banks, Financial corporation, LIC, UTI, Co-op Banks;
- Interest paid by firm to its partner
- Interest paid by primary agricultural credit society on deposits made with them.
- Interest on tax refund by Government

WINNING FROM LOTTERIES OR CROSS WORD PUZZLES [SECTION 194B]

Payment	Payer	Payee	Rate
WINNING FROM LOTTERIES OR CROSS WORD PUZZLES, ETC.	Any Person	Any Person	30%

Additional Points

- TDS is required to be deducted at the time of payment.
- No TDS if the winning amount is up to ₹10,000 per transaction.
- If prize is partly in cash and partly in kind, tax on total prize (cash + value of kind) is deducted from cash prize.
- If prize is only in kind (or cash is insufficient), payer must ensure tax is paid before releasing the prize.
- If prize money is paid in instalments, TDS is deducted on each instalment.

6. If agent receives prize on unsold ticket or unclaimed prize, it is treated as business income and not liable for TDS u/s 194B.

WINNINGS FROM ONLINE GAMES [SECTION 194BA]

Payment	Payer	Payee	Rate
Winnings From Online Games	Any Person	Any Person	30%

Additional Points

- TDS is deducted at the end of the FY. If there is withdrawal during the FY, TDS is deducted at the time of withdrawal on net winnings included in such withdrawal. [Net winnings = Winnings – Loss]
- Incentives/bonus credited only for playing and not withdrawable are ignored for net winnings. When they become withdrawable, they form part of net winnings in that year.
- No TDS where net winnings withdrawn do not exceed ₹100 in a month.

WINNING FROM HORSE RACES [SECTION 194BB]

Payment	Payer	Payee	Rate
Winnings From Horse Races	Any Person	Any Person	30%

Additional Points

- TDS required to be deducted @ time of payment
- No TDS if winning amount is upto ₹ 10,000 per transaction.

PAYMENT TO CONTRACTOR [SECTION 194C]

Payment	Payer	Payee	Rate
Payment to contractor. Works / labour contract; Advertising contract; Catering; TV; Transporters; Job Work.	Any Person Other Than Ind/HUF/AOP/BOI	Resident Person	Payee Ind/HUF – 1% Other – 2%

Additional Points

- Ind/HUF/AOP/BOI shall deduct TDS if Last year TO exceeds 1cr in case of business or GR exceeds 50L in case of profession.
- NO TDS in following Cases:



- a) If Single payment is upto ₹ 30,000 & Aggregate payment upto ₹ 1,00,000 during FY.
- b) Personal contract of Individual / HUF
- c) Payment to contractor in transport business owning not more than 10 trucks during FY & furnishes PAN
3. Works Includes advertising; broadcasting and telecasting including production of programmes for such broadcasting or telecasting; carriage of goods and passengers by any mode of transport other than by railways; catering.
4. Manufacturing or supplying a product as per customer's specification using material purchased from such customer or its associate is covered. However, it does not include manufacturing or supplying using material purchased from any person other than the customer or his associate.
5. In case of Job work, TDS shall be applied on the invoice value excluding the value of material purchased from the customer, provided bifurcation is given in the invoice. Otherwise, TDS is applied on entire value.
6. Payment by broadcaster or telecasters to production houses for the production of content for broadcasting/Telecasting:
 - a) Content is produced as per broadcasters requirement and Copyright of such content is with broadcaster → Covered under definition of work → TDS u/s 194C is Applicable
 - b) Broadcaster acquires telecast rights of the content already produced → Not covered under definition of work → No TDS u/s 194C is Applicable.
7. If seller sells and transports gas to buyer, the contract remains a contract of sale, not a works contract, whether transport charges are included in cost or shown separately. However, if transportation is availed from a third person, TDS u/s 194C is applicable on transport charges.

INSURANCE COMMISSION [SECTION 194D]

Payment	Payer	Payee	Rate
Insurance Commission	Any Person	Resident Person	5%

Additional Points

No TDS if Commission is upto ₹ 20,000.

MATURITY OF LIFE INSURANCE POLICY [SECTION 194DA]

Payment	Payer	Payee	Rate
Maturity of Life Insurance Policy	Any Person	Resident Person	2% of Income Received.

Additional Points

1. TDS required to be deducted @ time of payment
2. No TDS if maturity Amount Received is less than ₹ 1,00,000
3. No TDS if maturity Amount is Exempt u/s 10(10D)

Payment To Non Resident Sportsman/Entertainer Or Sports Associations [Section 194E]

Payment	Payer	Payee	Rate
Payment To Non Resident Sportsman Or Sports Associations	Any Person	Non Resident Sportsman Or Sports Associations	20% + Surcharge + 4%

Additional Points

Income received by NR sportsperson for participation in games/sports in India (excluding card games or gambling), advertising, and contribution of sports articles, and income received by NR entertainer for performing in India.

COMMISSION ON SALE OF LOTTERY TICKETS [SECTION 194G]

Payment	Payer	Payee	Rate
Commission On Sale Of Lottery Tickets	Any Person	Any Person	2%

Additional Points

No TDS if Commission is upto ₹ 20,000



COMMISSION & BROKERAGE [SECTION 194H]

Payment	Payer	Payee	Rate
Commission & Brokerage	Any Person Other Than Ind/HUF	Resident Person	2%

Additional Points

1. Ind/HUF shall deduct TDS if Last year **TO exceeds 1cr** in case of business or **GR exceeds 50L** in case of profession.
2. No TDS if Commission is **upto ₹ 20,000**
3. NO TDS if commission or brokerage related to **security** like commission to underwriter, brokerage on public issue etc.

TDS ON RENT [SECTION 194-I]

Payment	Payer	Payee	Rate	
Rent of L/B; P&M; F&F	Any Person Other Than Ind/HUF	Resident Person	P&M	2%
			L/B & F&F	10%

Additional Points

1. Ind/HUF must deduct TDS if last year **TO > ₹1 Cr** (business) or **GR > ₹50L** (profession).
2. No TDS if rent $\leq$ ₹50,000 per month.
3. No TDS on lump sum lease premium / one-time upfront lease charges for long-term leasehold rights (not treated as rent).
4. Passenger Service Fees paid by airlines to airport operator $\rightarrow$ not rent, so no TDS u/s 194-I.
5. No TDS on refundable deposit.
6. Warehousing charges are covered under this section.

TRANSFER OF CERTAIN IMMOVABLE PROPERTY [SECTION 194-IA]

Payment	Payer	Payee	Rate
Transfer Of Immovable Property other Than Rural Agriculture Land	Any Person (Buyer)	Resident Person (Seller)	1% of consideration paid or SDV, whichever is higher.

Additional Points

1. No TDS Where the consideration & SDV both of an immovable property is **less than ₹ 50 lakh.**

2. Consideration includes all incidental charges like club membership, car parking, electricity/water facility, maintenance fee, advance fee, etc..

RENT OF IMMOVABLE PROPERTY [SECTION 194-IB]

Payment	Payer	Payee	Rate
Rent of Immovable Property	Ind/HUF (Not covered u/s 194-I)	Resident Person	2%

Additional Points

1. NO TDS Where rent for a month or part thereof **does not exceed ₹ 50,000**
2. TDS is deducted at the time of credit of rent for the last month of the PY (or last month of tenancy) or at the time of payment, whichever is earlier.
3. If payee does not provide PAN, TDS is deducted @ 20%, but it shall not exceed the rent payable for the last month.

FEEES FOR PROFESSIONAL OR TECHNICAL SERVICES [SECTION 194J]

Payment	Payer	Payee	Rate	
Fees for technical service; Professional Fees; Royalty; Non-Compete Fee; Director's Remuneration	Any Person Other Than Ind/HUF	Resident Person	Payee	%
			Call Center; FTS; Royalty for Films	2%
			Other	10%

Additional Points

1. Ind/HUF shall deduct TDS if Last year **TO exceeds 1cr** in case of business or **GR exceeds 50L** in case of profession.
2. No TDS to be deducted if Amount paid is **upto ₹50,000** each in the case of Fees for technical service; Professional Fees; Royalty; Non-Compete Fee.
3. TDS is always deducted from **Directors Remuneration.**
4. NO TDS on Fees for professional service by Ind/HUF if made for **Personal Purpose.**
5. Ind/HUF is not required to deduct tax on royalty or NCF even if last year **TO/GR exceeds Threshold.**



6. Payments made to sportsperson, Umpire, Commentator, Referee, Physiotherapist, team physician, Anchor, Event Manager will also be regarded as professional fee **and liable to TDS u/s 194J**.
7. **'fees for technical services'** means consideration for rendering of any managerial, technical or consultancy services but does not include consideration for any construction, assembly, mining or like project undertaken by the recipient.
8. TPAs (**Third Party Administrator's**) who are making payment on behalf of insurance companies to hospitals for settlement of medical/insurance claims etc. are **liable to deduct tax at source** under section 194J on all such payments to hospitals etc.

COMPENSATION ON ACQUISITION OF IMMOVABLE PROPERTY [SECTION 194LA]

Payment	Payer	Payee	Rate
Compensation On Compulsory Acquisition Of Immovable Property	Any Person	Resident Person	10%

Additional Points

1. TDS is required to Deduct only **@ the time of Payment**.
2. NO TDS if payment is **upto ₹ 5,00,000** during a FY.
3. No TDS if Urban Agricultural Land is compulsory acquired as capital gain on this transaction is **Exempted u/s 10(37)** and RAL is not a Capital Asset

PAYMENT OF CERTAIN SUMS BY IND/HUF [SECTION 194M]

Payment	Payer	Payee	Rate
Payment Of Works Contract, Commission, Fees for Professional Services	Ind/HUF – Not Covered u/s 194C, 194H & 194J	Resident Person	2%

Additional Points

1. No TDS if amount paid is **up to ₹ 50,00,000**
2. Sec. 194M is applicable if Sec. 194C/194H/194J is **NOT Applicable** to Resident Individual/HUF

CASH WITHDRAWAL FROM BANK [SECTION 194N]

Payment	Payer	Payee	Rate
Cash Withdrawal From Bank	Bank, Co-op Bank, Post Office	Any Person	Refer Note 2

Additional Points

1. TDS is to be deducted **@ time of payment**
2. **TDS Rate**

In case of Defaulter	
Aggregate payment exceeds ₹ 20 lakh but does not exceed ₹ 1 crore	2%
Aggregate payment exceeds ₹ 1 crore	5%
In any other case	
Aggregate payment exceeds ₹ 1 crore	2%
3. Defaulter means the recipient who has not filed the returns of income **last 3 previous years**, for which the time limit to file return of income u/s 139(1) **has expired**.
4. **No TDS** if payment is made to the Government; Any bank, co-op bank, post office or their business correspondent; Any white label automated teller machine operator

PAYMENT OF CERTAIN SUMS BY E-COMMERCE OPERATOR [SECTION 194O]

Payment	Payer	Payee	Rate
Payment By E-Commerce Operator to E-Commerce Participant for Sale of Goods or Services	E-Com Operator (E.g. Flipkart, Amazon, Meesho, etc.)	Resident Person (E-com participant selling goods or service through E-com operator)	0.1% of gross amount of sale.

Additional Points

1. Payment made by purchaser directly to e-commerce participant is deemed as payment by e-commerce operator and included in gross amount of sale/services for TDS.
2. No TDS if following conditions are satisfied:
 - a) e-com participant is an individual or Hindu undivided family.



- b) The gross amount of such sale or services during the PY is upto ₹ 5,00,000
- c) Such e-com participant has furnished his PAN or Aadhaar to the e-com operator.
- 3. A transaction in respect of which TDS deducted u/s 194O (or which is not liable to deduction i.e. upto 5 Lakhs), shall not be liable to TDS under any other provisions.
- 4. If e-commerce operator receives amount for hosting advertisements or other services not connected with sale/services, TDS shall be deducted u/s 194C

- 1. TDS is to be deducted at the time of payment or crediting the seller, whichever is earlier.
- 2. No TDS in this section in respect of a transaction on which TDS under any of the provisions of this Act has been deducted
- 3. If PAN of PAYEE is not available then, TDS rate is 5%
- 4. TDS u/s 194Q is not applicable on GST. However, if advance payment is made, TDS is deducted on the advance including GST.
- 5. In case of purchase return where money is returned by the seller, TDS may be adjusted against the next purchase from the seller.
- 6. No TDS if seller is department of Govt.
- 7. No TDS u/s 194Q if TCS is applicable u/s 206C(1)/(1F)

TDS BY BANK IN CASE OF SPECIFIED SENIOR CITIZEN [SECTION 194P]

Payment	Payer	Payee	Rate
Pension From ER and Interest On Deposit with Bank	Specified Bank	Resident Individual Age is 75 years or more	Slab Rate

Additional Points

- 1. This section is applicable if specified senior citizen
 - a) is having pension income [Also, he should have no other income except interest income from any account maintained in the same specified bank in which he is receiving his pension income]
 - b) has furnished a declaration to the specified bank containing such particulars, in the prescribed form and verified in the prescribed manner
- 2. The specified senior citizen is exempted from filing his return of income

BENEFIT OR PERQUISITE IN RESPECT OF BUSINESS OR PROFESSION [SECTION 194R]

Payment	Payer	Payee	Rate
Benefit Or Perquisite In Respect Of Business Or Profession	Any Person Other Than Ind/HUF	Resident Person	10%

Additional Points

- 1. Ind/HUF shall deduct TDS if Last year TO exceeds 1cr in case of business or GR exceeds 50L in case of profession.
- 2. valuation of benefit/perquisite
Benefit/Perq Purchased by Payer → Purchase price shall be the value of Benefit/Perq
Benefit/Perq Manuf. By Payer → Price Charged from customer
GST would not be included for the valuation of benefit/perq for TDS u/s 194R
- 3. NO TDS if amount of benefit or perq provided to a person is upto ₹ 20,000 in PY.
- 4. If benefit/perquisite is wholly in kind or cash is insufficient, payer must ensure TDS is paid before releasing it by:
 - (a) Collecting TDS from payee,
 - (b) Paying TDS himself (treating benefit as net amount), or
 - (c) Payee depositing TDS as advance tax and giving proof to payer.

Note:

PURCHASE OF GOODS [SECTION 194 Q]

Payment	Payer	Payee	Rate
Purchase of goods of the value exceeding ₹ 50 lakhs in a PY	Buyer [LY TO is more than 10 Cr]	Resident Seller	0.1% of sum paid in excess of 50 lakhs

Additional Points



- a) NO TDS on sales disc./cash disc./rebates allowed to customer.
- b) one-time loan settlement with borrowers or waiver of loan granted by Bank, Co-op Bank, PFI, NBFC etc. would not be considered as benefit or perq for TDS u/s 194R
- c) Product is given to Influencer for advertisement/awareness of product:
 - i. product is returned to the manufacturing company – NO TDS u/s 194R
 - ii. Product is retained by influencer – Considered as Benefit/Perq & TDS is attracted.
- d) If capital asset is given as benefit/perquisite and TDS u/s 194R is deducted, the FMV of such benefit is treated as actual cost for the payee, and depreciation u/s 32 is allowed on such FMV.

TDS ON PAYMENT BY PARTNERSHIP FIRM TO PARTNERS [SECTION 194T]

Payment	Payer	Payee	Rate
Salary, Commission, Remuneration, Bonus or Interest on any A/c	Partnership Firm or LLP	Partner	10%

Additional Points

1. TDS is to be deducted only where in case the aggregate payments to a partner exceeds Rs. 20,000 in a FY.
2. TDS is to be deducted at the earlier of the following Dates:
 - a) Credit of sum/Payment to the account of Partner in the Books of Firm; or
 - b) Actual Payment to the Partner
3. No TDS shall be deducted on repayment of Capital A/c balance.
4. TDS will also be applicable on Interest Payments by Firm. However, No TDS shall be deducted on Loan Given by firm to Partner.
5. No TDS shall be deducted in case of reimbursement of expenses incurred by Partner on behalf of Firm.

OTHER PROVISIONS

7. Section 197 Lower Deduction Certificate

- S. 197 allows an assessee to apply to AO for lower or nil TDS.
- Application is made in Form 13.
- AO issues certificate if estimated income and deductions show lower or no tax liability than TDS.

8. Section 197A Declaration in form 15G/15H

Where total income of resident is below BEL during the year, then no TDS shall be deducted u/s 192, 193, 194, 194A, 194DA, 194-I, 194K if assessee file declaration to the "PAYER" in form 15G.

However, senior citizen can file declaration u/s 15H for No TDS deduction if TAX PAYABLE during the year is NIL.

9. Section 206AA TDS Rate If Payee Fails To Furnish A PAN

If payee doesn't furnish a PAN, then TDS shall be deducted:

- (a) Rate prescribed in the relevant section
- (b) 20% Whichever is higher.

Note: for section 194-O/194-Q maximum TDS rate is 5%

10. Due Dates for Payment of TDS

- a. For the months of April to February - 7th of the following month.
- b. For the month of March - 30th of April of the following financial year.

However, TDS must be deposited within 30 days from the end of the month in which the deduction is made u/s 194-IA, 194-IB & 194M

11. Consequences Of Failure To Deduct Or Pay [Section 201]

Assessee in Default: If payer has not deducted the TDS or after deduction has not been deposited to Govt, then such person is treated as assessee in default and required to pay penalty u/s 221 and that can be upto 100% of TDS amount.



Non-applicability of deeming provision:

Payer shall not be treated as assessee in default if payee-

- has **furnished** his return of income under section 139;
- has taken into account such **sum for computing income** in such return of income; and
- has paid the tax due on the **income declared** by him in such return of income, and the payer furnishes a **certificate** to this effect from an accountant in such form as may be prescribed.

Interest Liability

Late deduction- Payer is liable to pay **simple interest @ 1%** for every month or part of month on the amount of such tax from the date on which tax was **deductible** to the date on which such tax was **actually deducted**

Late Deposit- Payer is liable to pay **simple interest @ 1.5%** for every month or part of month from the date on which tax was **deducted** to the date on which such tax is **actually paid**

12. TDS Returns Due Dates:

- Q1 (April to June) : 31st July of the financial year
 Q2 (July to September) : 31st October of the financial year
 Q3 (October to December): 31st January of the financial year
 Q4 (January to March) : 31st May of the financial year

TAX COLLECTION AT SOURCE

SALE OF CERTAIN GOODS

Under section 206C(1), Sellers of **Following goods** are required to collect tax from the buyers at the specified rates.

Goods (MAST – Timber)	Rate
Alcoholic liquor for human consumption	1%
Scrap	1%
Minerals, being coal or lignite or iron ore	1%
Tendu leaves	5%
Timber & other forest produce	2%

However, **No TCS** If following Conditions are satisfied

- Buyer is Resident
- Buyer Furnishes **declaration** that **goods** referred above are to be utilised for the purpose of manufacturing, processing or producing articles or things or for the purposes of **generation of power** and **not for trading purposes**.

Note: If buyer turnover is **more than 10 crores** in last year, then buyer required to deduct TDS u/s 194Q

LEASE OR A LICENSE OF PARKING LOT, TOLL PLAZA OR MINE OR A QUARRY

Section 206C(1C) provides for **collection of 2% TCS** by every person who grants a lease or a license or enters into a contract or otherwise transfers any right or interest in any parking lot or toll plaza or a mine or a quarry to another person (**other than a public sector company**).

SALE OF MOTOR VEHICLE & NOTIFIED LUXURY GOODS OF VALUE EXCEEDING ₹ 10 LAKHS

Section 206C(1F) provides that a seller, shall collect tax from the buyer @1% of the sale consideration where value of a **motor vehicle** or other notified goods **exceeds ₹ 10 lakhs**.



Notified Luxury Goods [Effective from 22/04/2025]:

1. Wristwatches
2. Art items such as antiques, paintings and sculptures
3. Collectibles, **including** Coins and stamps
4. Yachts, rowing boats, canoes and Helicopters
5. Sunglasses
6. Handbags and Purses
7. Pair of shoes
8. Sportswear and equipment like **Golf kits or Ski wear**
9. Home theatre systems
10. Horses used for racing or polo

Note: No TCS shall be collected by **manufacturers** when they sell cars to dealer or distributor.

OVERSEAS REMITTANCE OR OVERSEAS TOUR PACKAGE**A. Overseas Remittance Under Liberalized Remittance scheme**

Particulars	Rate Of TCS
Remittance for education or medical treatment	5%
Remittance out of Loan obtained from any Financial Institution for pursuing education	Nil
Other Purpose	20%

Note: NO TCS on above three remittances up to **aggregate amount** of Rs. 10 Lakhs

B. Overseas Tour Package

Particulars	Rate Of TCS
Tour Package	5% up to 10 Lakhs & 20% above 10 Lakhs

Overseas tour package means **tour package** which offers visit to a country or countries or territories outside India and includes expenses for **travel** as well as for **stay** or any other expenses of similar nature.

TIME OF COLLECTION OF TAX

Tax shall be collected at the **earlier of following**

- a) Date of Debiting Buyer
- b) Date of Receiving Payment

However, as per section 206C(1F) and 206C(1H), TCS shall be collected at the time of receipt of payment.

Note: TCS must be deposited by the **7th of the following month** in which the tax is collected.

INTEREST ON LATE COLLECTION/DEPOSIT TCS [Section 206C(7)]

In case of any delay, interest shall be levied **@ 1% per month** or part thereof from the date on which **TCS was collectible** to date on which TCS is actually paid.

DUE DATE OF TCS STATEMENT OR RETURN**TCS Returns Due Dates:**

- Q1 (April to June) : 15th July
- Q2 (July to September) : 15th October
- Q3 (October to Dec) : 15th January
- Q4 (January to March) : 15th May

TCS RATE IF COLLECTEE FAILS TO FURNISH PAN OR AADHAR TO COLLECTOR

TCS rate shall be **higher of:**

- a) Twice the rate
- b) 5%

Note: Maximum rate of TCS under sub section (1H) **shall be 1%.**



ADVANCE PAYMENT OF TAX

LIABILITY TO PAY ADVANCE TAX

- Advance tax is payable during the FY on current income.
- Applicable if tax payable $\geq$ ₹10,000.

Note: Resident senior citizens with no PGBP income are exempt from advance tax and can pay tax as self-assessment tax.

CALCULATION OF ADVANCE TAX

The amount of **advance tax payable** in the financial year calculated by

- the assessee himself based on his **estimation** of current income or
- the **Assessing Officer** as a result of an order

INSTALLMENTS OF ADVANCE TAX (OTHER THAN PRESUMPTIVE BASIS)

Due date of Instalment	Amount Payable
On or before 15th June	15% of advance tax liability
On or before 15th September	45% of advance tax liability, as reduced by the amount paid earlier
On or before 15th December	75% of advance tax liability, as reduced by the amount paid earlier
On or before 15th March	100% of advance tax liability, as reduced by the amount paid earlier

Note - Any amount paid as advance tax on or before 31st March is treated as advance tax for that financial year.

INTEREST U/S 234C

If advance tax is defaulted, interest @ 1% per month is charged for 3 months on each instalment, and for the last instalment, only for 1 month.

Circumstances	Amount On which Interest is to be Paid
Where advance tax paid on or before 15/06 is less than 12% of the tax due	15% of tax due on income less advance tax paid upto 15/06
Where advance tax paid on or before 15/09 is less than 36% of the tax due	45% of tax due on income less advance tax paid upto 15/09
Where advance tax paid on or before 15/12 is less than 75% of the tax due	75% of tax due on income less advance tax paid upto 15/12
Where advance tax paid on or before 15/03 is less than 100% of the tax due	100% of tax due on income less advance tax paid upto 15/03

Note: No advance tax on estimated basis for capital gains or casual income. On actual accrual, advance tax is paid in subsequent instalments, and if after 15th March, pay by 31st March, otherwise interest u/s 234C applies.

INTEREST U/S 234B

If advance tax paid is less than **90% of actual tax liability**, assessee shall be required to pay **interest @ 1% per month** or part of a month from 1st April of assessment year upto the date of payment.

INTEREST U/S 234A

If any person has paid income tax after expiry of the last **date of filing of return of income**, interest shall be **payable @ 1% p.m.** or part of the month for the period subsequent to the last date of filing of return of income

RULE 119A

As per rule 119A, the principal Amount shall be rounded off in the **multiples of ₹ 100** and for this purpose **any fraction of ₹ 100** shall be ignored

